



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

HB 2174: insurance; modeling organizations; predictive models

LIVINGSTON FLOOR AMENDMENT

1. Makes a conforming change to statute to be consistent with the NAIC Model Act relating to credit for reinsurance.

LIVINGSTON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2174
(Reference to COMMERCE S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Strike everything after the enacting clause and insert:

3 "Section 1. Section 20-235, Arizona Revised Statutes, is amended to
4 read:

5 20-235. Insurers; financial disclosure; requirements

6 A. The director may adopt rules which require each insurer licensed
7 to write property or casualty insurance in this state to report its loss
8 and expense experience, investment income, administrative expenses and
9 other data, as he may require, for classes of risks which he may
10 designate. Such reports shall be in addition to the annual statement
11 required by section 20-223.

12 B. The department may designate one or more rate service
13 organizations or ~~advisory organizations~~ MODELING AND DATA ORGANIZATIONS to
14 gather and compile the experience and data.

15 C. The director by order may require an insurer authorized to
16 transact insurance in this state to submit statistical and other financial
17 data including the information prescribed in subsection A of this section
18 in a form and content consistent with rules adopted pursuant to subsection
19 A, with any model guideline, regulation, rule or act adopted by the
20 national association of insurance commissioners or with the classification
21 basis used by the insurer. The director shall prescribe the time period
22 and form in which the data shall be submitted.

23 D. An insurer who fails to provide the information required under
24 subsection C of this section is subject to payment of a late fee of not
25 more than one hundred dollars for each day of delinquency. The director
26 shall notify an insurer of late fees that it will incur as a result of
27 noncompliance with this section at least ten days prior to the date any
28 such late fees become due.

29 Sec. 2. Section 20-341, Arizona Revised Statutes, is amended to
30 read:

31 20-341. Purpose of insurance rate regulation

1 A. The purpose of this article is to promote the public welfare by
2 regulating insurance rates to the end that they shall not be excessive,
3 inadequate or unfairly discriminatory, and to authorize and regulate
4 cooperative action among insurers in rate making and in other matters
5 within the scope of this article. Nothing in this article is intended to
6 prohibit or discourage reasonable competition, or to prohibit or
7 encourage, except to the extent necessary to accomplish the purpose stated
8 in this section, uniformity in insurance rates, rating systems, rating
9 plans or practices. This article shall be liberally interpreted to carry
10 into effect the provisions of this section.

11 B. Where the rules and regulations of a rating bureau or ~~advisory~~
12 ~~organization~~ MODELING AND DATA ORGANIZATION conflict with the law, the
13 rules and regulations do not apply.

14 Sec. 3. Section 20-368, Arizona Revised Statutes, is amended to
15 read:

16 20-368. Modeling and data organizations

17 A. Every group, association or other organization of insurers,
18 whether located within or outside this state, which assists insurers which
19 make their own filings or rating organizations in rate making, by the
20 collection and furnishing of loss or expense statistics, or by the
21 submission of recommendations, but which does not make filings under this
22 article, shall be known as ~~an advisory organization~~ A MODELING AND DATA
23 ORGANIZATION.

24 B. Every ~~advisory organization~~ MODELING AND DATA ORGANIZATION shall
25 file with the director:

26 1. A copy of its constitution, its articles of agreement or
27 association or its certificate of incorporation and a copy of its bylaws,
28 rules and regulations governing its activities.

29 2. A list of its INSURER members, IF APPLICABLE.

30 3. The name and address of a resident of this state upon whom
31 notices or orders of the director or process affecting the ~~advisory~~
32 ~~organization~~ MODELING AND DATA ORGANIZATION may be served.

33 ~~4. An agreement that the director may examine the advisory~~
34 ~~organization in accordance with the provisions of section 20-370.~~

35 C. If, after a hearing, the director finds that the furnishing of
36 such information or assistance involves any act or practice which is
37 unfair or unreasonable or otherwise inconsistent with the provisions of
38 this article, he may issue a written order specifying in what respects
39 such act or practice is unfair or unreasonable or otherwise inconsistent,
40 and requiring the discontinuance of such act or practice.

41 D. No insurer which makes its own filings nor any rating
42 organization shall support its filings by statistics or adopt rate making
43 recommendations furnished to it by an ~~advisory organization~~ MODELING AND
44 DATA ORGANIZATION which has not complied with this section or with an
45 order of the director involving such statistics or recommendations issued
46 under subsection C of this section. If the director finds the insurer or
47 rating organization to be in violation of this subsection, he may issue an
48 order requiring the discontinuance of the violation.

49 E. THIS SECTION DOES NOT PRECLUDE A MODELING AND DATA ORGANIZATION
50 FROM FILING A MODEL PURSUANT TO SECTION 20-390, SUBSECTION C.

1 Sec. 4. Section 20-370, Arizona Revised Statutes, is amended to
2 read:

3 20-370. Examinations of rating organizations

4 A. The director, as often as he deems it expedient, may make or
5 cause to be made an examination of each rating organization licensed in
6 this state, ~~each advisory organization referred to in section 20-368~~ and
7 each group, association or other organization referred to in section
8 20-369. The reasonable costs of such examination shall be paid by the
9 rating organization, ~~advisory organization~~ or group, association or other
10 organization examined upon presentation to it of a detailed account of the
11 cost.

12 B. The officers, managers, agents and employees of the rating
13 organization, ~~advisory organization~~ or group, association or other
14 organization may be examined at any time under oath, and shall exhibit all
15 books, records, accounts, documents or agreements governing its method of
16 operation.

17 C. The director shall furnish two copies of the examination report
18 to the organization, group or association examined and shall notify the
19 organization, group or association that, within twenty days thereafter, it
20 may request a hearing on the report or on any facts or recommendations in
21 the report. Before filing the report for public inspection, the director
22 shall grant a hearing to the organization, group or association examined.

23 D. The report of the examination, when filed for public inspection,
24 shall be admissible in evidence in any action or proceeding brought by the
25 director against the organization, group or association examined, or its
26 officers or agents, and shall be prima facie evidence of the facts stated
27 in the report.

28 E. The director may withhold the report of the examination from
29 public inspection for such time as the director deems proper.

30 F. In lieu of the examination, the director may accept the report
31 of an examination made by the insurance supervisory official of another
32 state, pursuant to the laws of such state.

33 Sec. 5. Section 20-381, Arizona Revised Statutes, is amended to
34 read:

35 20-381. Definitions

36 In this article, unless the context otherwise requires:

37 ~~1. "Advisory organization":~~

38 ~~(a) Means any person other than a single insurer who assists two or~~
39 ~~more insurers or rate service organizations in the making of rates by~~
40 ~~compiling and furnishing loss or expense statistics or other statistical~~
41 ~~information and data, or by the submission of recommendations as to rates,~~
42 ~~forms or supplementary rate information.~~

43 ~~(b) Does not include a joint underwriting association, any~~
44 ~~actuarial or legal consultant, any employee of an insurer or insurers~~
45 ~~under common control or management or their employees or manager.~~

46 ~~2.~~ 1. "Loss cost adjustment":

47 (a) Means that portion of a rate filed by an insurer with the
48 director that includes the insurer's general expenses, total product
49 expenses, taxes, licenses and fee expenses and underwriting profit and
50 contingencies.

1 (b) Does not include loss adjustment expenses or prospective loss
2 costs.

3 ~~3.~~ 2. "Loss cost modification factor" means that rating factor
4 filed by an insurer with the director for the purpose of modifying the
5 rate service organization's prospective loss cost filing.

6 3. "MODELING AND DATA ORGANIZATION":

7 (a) MEANS ANY PERSON OTHER THAN A SINGLE INSURER WHO ASSISTS TWO OR
8 MORE INSURERS OR RATE SERVICE ORGANIZATIONS IN THE MAKING OF RATES BY
9 COMPILING AND FURNISHING LOSS OR EXPENSE STATISTICS OR OTHER STATISTICAL
10 INFORMATION AND DATA, OR BY THE SUBMISSION OF RECOMMENDATIONS AS TO RATES,
11 FORMS OR SUPPLEMENTARY RATE INFORMATION.

12 (b) DOES NOT INCLUDE A JOINT UNDERWRITING ASSOCIATION, ANY
13 ACTUARIAL OR LEGAL CONSULTANT, ANY EMPLOYEE OF AN INSURER OR INSURERS
14 UNDER COMMON CONTROL OR MANAGEMENT OR THEIR EMPLOYEES OR MANAGER.

15 4. "Prospective loss costs" means the historical aggregate losses
16 and loss adjustment expenses filed by a rate service organization with the
17 director on which a portion of a rate is based, adjusted through actuarial
18 trending to a future point in time and developed to their ultimate values.

19 5. "Rate":

20 (a) Means that cost of insurance per exposure unit whether
21 expressed as a single number or as a prospective loss cost with an
22 adjustment to account for the treatment of expenses, profit and individual
23 insurer variation in loss experience before any application of individual
24 risk variations based on loss or expense considerations.

25 (b) Does not include the minimum premium.

26 6. "Rate service organization":

27 (a) Means any person other than a single insurer who assists
28 insurers by compiling and furnishing loss or expense statistics and
29 recommending, making or filing rates, forms or supplementary rate
30 information.

31 (b) Does not include a joint underwriting association, any
32 actuarial or legal consultant, any employee of an insurer or insurers
33 under common control or management, or their employees or manager.

34 7. "Supplementary rate information":

35 (a) Means any manual or plan of rates, statistical plan,
36 classification, rating schedule, minimum premium, schedule of fees,
37 including membership fees charged by a reciprocal or mutual insurer,
38 rating rule, rate related underwriting rule and other information used by
39 an insurer in making rates.

40 (b) Does not include the final rate pages that combine the
41 prospective loss costs with the loss cost adjustments.

42 Sec. 6. Section 20-387, Arizona Revised Statutes, is amended to
43 read:

44 20-387. Delegation of rate making and rate filing obligations

45 A. An insurer may establish rates and supplementary rate
46 information based on the factors in section 20-384 using, if desired, the
47 recommendations of ~~an advisory organization~~ A MODELING AND DATA
48 ORGANIZATION, or rates and supplementary rate information prepared by a
49 rate service organization, with average expense factors determined by the
50 rate service organization or with such modification for its own expense
51 and loss experience as the credibility of that experience allows.

1 B. An insurer may discharge its obligations pursuant to section
2 20-385 by giving notice to the director that it uses rates and
3 supplementary rate information prepared by a designated rate service
4 organization, with such information about modifications of the rates as is
5 necessary to inform the director. The insurer's rates and supplementary
6 rate information are those filed by the rate service organization,
7 including any amendments to the rate as filed, subject to the
8 modifications filed by the insurer.

9 C. Licensed rate service organizations, ~~advisory organizations~~
10 MODELING AND DATA ORGANIZATIONS and admitted insurers are authorized to
11 exchange information and experience data with rate service organizations,
12 ~~advisory organizations~~ MODELING AND DATA ORGANIZATIONS and insurers in
13 this and other states and may consult with them with respect to rate
14 making.

15 Sec. 7. Section 20-388, Arizona Revised Statutes, is amended to
16 read:

17 20-388. Disapproval of rates

18 If the director finds that a rate is not in compliance with section
19 20-383, the director shall issue an order specifying in what respects it
20 so fails and stating that, within thirty days after the order is issued,
21 the rate is no longer effective. The order does not affect any contract
22 or policy made or issued prior to the effective date of the order. The
23 order shall be served immediately pursuant to section 20-151. Any
24 insurer, rate service organization or ~~advisory organization~~ MODELING AND
25 DATA ORGANIZATION may request a hearing pursuant to title 41, chapter 6,
26 article 10, and the request for a hearing stays the effectiveness of the
27 order as provided in section 20-162.

28 Sec. 8. Section 20-390, Arizona Revised Statutes, is amended to
29 read:

30 20-390. Modeling and data organizations: filing with director

31 A. ~~An advisory organization~~ A MODELING AND DATA ORGANIZATION shall
32 not conduct its operations in this state until it files with the director:

33 1. A copy of its constitution, charter, articles of organization,
34 agreement, association or incorporation and a copy of its bylaws and any
35 other rules or regulations governing its activities.

36 2. A list of its INSURER members and subscribers, IF APPLICABLE.

37 3. The name and address of one or more residents of this state upon
38 whom notices, process affecting it or orders of the director may be
39 served.

40 B. ~~An advisory organization~~ A MODELING AND DATA ORGANIZATION shall
41 promptly file any amendments to a document required to be filed pursuant
42 to this section.

43 C. A MODELING AND DATA ORGANIZATION MAY FILE WITH THE DIRECTOR
44 MODELS TO BE USED BY INSURERS IN THIS STATE FOR MAKING RATES. THE
45 DIRECTOR MAY REQUIRE THE MODELING AND DATA ORGANIZATION TO FILE SUPPORTING
46 DATA OR ANY ADDITIONAL INFORMATION RELATED TO THE CONTENT OF THE MODEL AND
47 THE OUTPUTS OF THE MODEL NECESSARY TO VERIFY THAT THE MODEL COMPLIES WITH
48 THE REQUIREMENTS OF THIS TITLE.

49 D. MODELS, ANY SUPPORTING DATA OR ADDITIONAL INFORMATION REQUESTED
50 BY THE DIRECTOR AND MODEL OUTPUTS FILED BY MODELING AND DATA ORGANIZATIONS

1 PURSUANT TO SUBSECTION C OF THIS SECTION ARE CONFIDENTIAL AND NOT SUBJECT
2 TO SUBPOENA OR TITLE 39, CHAPTER 1.

3 ~~E.~~ E. It is unlawful for ~~an advisory organization~~ A MODELING AND
4 DATA ORGANIZATION to engage in any unfair or unreasonable practice.

5 Sec. 9. Section 20-392, Arizona Revised Statutes, is amended to
6 read:

7 20-392. Rate agreements among insurers prohibited

8 A. Except with respect to apportionment agreements among insurers
9 approved by the director pursuant to section 20-395, an insurer shall not
10 assume any obligation to any person, other than a policyholder or other
11 insurers which, with it, are under common control or management or are
12 members of a joint underwriting or joint reinsurance organization, to use
13 or adhere to certain rates or rules. No person other than the director
14 may impose any penalty or other adverse consequence for failure of an
15 insurer to adhere to certain rates or rules.

16 B. Members and subscribers of rate service organizations or
17 ~~advisory organizations~~ MODELING AND DATA ORGANIZATIONS may use the work
18 products and services of such organizations as their individual judgment
19 may dictate. Such use by two or more authorized insurers shall not be
20 sufficient to support a finding that an agreement to adhere exists and may
21 be used only for the purpose of supplementing direct evidence of such an
22 agreement.

23 Sec. 10. Section 20-393, Arizona Revised Statutes, is amended to
24 read:

25 20-393. Recording and reporting of experience

26 The director shall promulgate reasonable rules, including rules
27 providing statistical plans, for use by all insurers in the recording and
28 reporting of loss and expense experience, in order that the experience of
29 such insurers may be made available to the director. No insurer may be
30 required to record or report its experience on a classification basis
31 inconsistent with its own rating system. An insurer may report its
32 experience to any rate service organization or ~~advisory organization~~
33 MODELING AND DATA ORGANIZATION with which it affiliates.

34 Sec. 11. Section 20-394, Arizona Revised Statutes, is amended to
35 read:

36 20-394. Examination of rate service organizations and joint
37 underwriting and joint reinsurance organizations

38 The director, as often as considered necessary, may examine each
39 rate service organization, each ~~advisory organization~~ MODELING AND DATA
40 ORGANIZATION and each group, association or other organization filing
41 pursuant to section 20-391. The director shall examine only those
42 activities conducted pursuant to this article. The director may examine
43 the officers, manager, agents and employees of such organizations at any
44 time under oath. The organization examined shall pay the reasonable costs
45 of the examination upon presentation to it of a detailed account of the
46 costs. The organization examined shall exhibit all books, records,
47 accounts, documents or agreements governing its method of operation. In
48 lieu of the examination the director may accept the report of an
49 examination made by the insurance supervisory official of another state,
50 pursuant to the laws of such state.

1 Sec. 12. Section 20-396, Arizona Revised Statutes, is amended to
2 read:

3 20-396. Hearing and judicial review

4 Any insurer, rate service organization or ~~advisory organization~~
5 MODELING AND DATA ORGANIZATION to which the director has issued an order
6 or decision may request a hearing pursuant to title 41, chapter 6, article
7 10 and, except as provided in section 41-1092.08, subsection H, seek
8 judicial review pursuant to title 12, chapter 7, article 6.

9 Sec. 13. Section 20-409, Arizona Revised Statutes, is amended to
10 read:

11 20-409. Recognized surplus lines

12 A. If after a hearing the director finds that a particular
13 insurance coverage or type, class or kind of coverage is not readily
14 procurable from authorized insurers, the director may by order declare
15 such coverage or coverages to be recognized surplus lines until the
16 director's further order.

17 B. The order is subject to modification by the director. The
18 director shall modify any coverage if the director determines that the
19 coverage is no longer entitled to recognition as surplus lines after a
20 hearing held on the director's initiative or on the request of any
21 insurance producer, surplus lines broker, broker, insurer, rating or
22 ~~advisory organization~~ MODELING AND DATA ORGANIZATION, or other person."

23 <<Sec. 14. Section 20-3604, Arizona Revised Statutes, is amended to
24 read:

25 20-3604. Rules

26 A. The director may adopt rules pursuant to title 41, chapter 6 to
27 carry out this article.

28 B. The rules may include regulation of reinsurance arrangements
29 relating to any of the following:

30 1. Life insurance policies with guaranteed nonlevel gross premiums
31 or guaranteed nonlevel benefits.

32 2. Universal life insurance policies with provisions resulting in
33 the ability of a policyholder to keep a policy in force over a secondary
34 guarantee period.

35 3. Variable annuities with guaranteed death or living benefits.

36 4. Long-term care insurance policies.

37 5. Any other life and health insurance and annuity products for
38 which the national association of insurance commissioners adopts model
39 regulatory requirements with respect to credit for reinsurance.

40 C. Any rule adopted pursuant to subsection B, paragraph 1 or 2 of
41 this section may apply to any treaty that contains either or both:

42 1. Policies issued on or after January 1, 2015.

43 2. Policies issued before January 1, 2015, if risk pertaining to
44 such pre-2015 policies is ceded in connection with the treaty, in whole or
45 in part, on or after January 1, 2015.

46 D. Any rule adopted pursuant to subsection B of this section:

47 1. May require the ceding insurer, in calculating the amounts or
48 forms of security required to be held pursuant to rules adopted by the
49 department, to use the valuation manual adopted by the national
50 association of insurance commissioners under section 11B(1) of the
51 national association of insurance commissioners standard valuation law,

1 including all amendments adopted by the national association of insurance
2 commissioners and in effect on the date as of which the calculation is
3 made, to the extent applicable.

4 2. Does not apply to cessions to an assuming insurer that ~~[is~~
5 ~~licensed in at least twenty-six states or that is licensed in at least ten~~
6 ~~states and licensed or accredited in a total of at least thirty-five~~
7 ~~states and that]~~ either:

8 (a) Meets the conditions prescribed in section 20-3602, subsection
9 H in this state.

10 (b) Is certified in this state.

11 (c) Maintains at least \$250,000,000 in capital and surplus as
12 determined in accordance with the accounting practices and procedures
13 manual and amendments adopted by the national association of insurance
14 commissioners, excluding the impact of any allowed or prescribed
15 practices~~[, AND THAT IS EITHER:~~

16 ~~(i) LICENSED IN AT LEAST TWENTY-SIX STATES.~~

17 ~~(ii) LICENSED IN AT LEAST TEN STATES AND LICENSED OR ACCREDITED IN~~
18 ~~A TOTAL OF AT LEAST THIRTY-FIVE STATES].~~

19 E. The authority to adopt rules pursuant to subsection B of this
20 section does not limit the department's general authority to adopt rules
21 pursuant to subsection A of this section.>>

22 Enroll and engross to conform

23 Amend title to conform

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